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Questions 1 Tradeoff Between Higher Interest Rates in Thailand and Delayed Conversion of Baht into Pounds

Higher Interest Rates: If Blades plc invests the cash flows in Thailand, it could earn an interest rate of 15% over one year. This represents a higher return than what could be earned in the UK (8% for the investment portion and 10% if used to support UK operations).

Delayed Conversion: Keeping the funds in Thailand means that Blades exposes itself to foreign exchange risk over the one-year period. The baht is expected to depreciate by 5% against the pound. If the baht depreciates, the value of the investment will be lower when converted back into pounds.

Tradeoff:

- The benefit of a higher interest rate in Thailand could be offset by the currency depreciation risk. For instance, if the baht depreciates by 5% but the funds earn 15%, the net return could be approximately 10% in local currency terms, potentially reducing gains when converted back to pounds.
- On the other hand, converting the funds immediately would mitigate the exchange rate risk but result in lower returns due to the lower interest rates available in the UK.